



The Principle of Compensation

An introduction to what a tort claim can achieve in the law of England and Wales. A Scottish appeal supplies the classic statement of the damages principle used across the UK.

1. Start with a civil wrong and a claimant

A **tort** is a kind of civil wrong. The **claimant** asks a court for a remedy against the **defendant**. Negligence is one tort; others protect different interests, including land and reputation. Not every misfortune is a tort, and a real loss does not by itself prove that this defendant must pay. The elements of the particular tort still matter.

Invented example: A delivery driver negligently knocks over Mei and fractures her arm. A possible claim first asks whether the driver owed and breached a duty of care and caused the injury. Only after liability is established do we ask what compensation is appropriate. Being hurt and proving a claim are two separate steps.

2. The ordinary aim of damages

Damages are a sum of money awarded as a legal remedy. The usual aim of **compensatory damages** is to put the injured person, so far as money can, in the position they would have occupied had the wrong not happened. The law compares two worlds: what actually happened, and what would probably have happened without the wrong. [1, 2]

Restitutio in integrum is a traditional Latin way of expressing restoration as far as possible. It does not mean that a court can reverse time or repair every loss perfectly. In modern legal usage, **restitution** can refer to a different remedy focused on gains received by a defendant, so “compensation” is the clearer English term here. [2]

3. Compensation is not a fine

Criminal punishment responds to an offence against public law. Ordinary compensatory tort damages address a claimant's loss. A damages award may encourage safer behaviour, but deterrence is not a reason simply to award a windfall. In limited circumstances the law also permits **exemplary or punitive damages**; therefore “tort can never punish” would be inaccurate. [2, 3]



Livingstone: the classic principle

4. Livingstone v Rawyards Coal Co (1880) 5 App Cas 25 [1]

Rawyards Coal Company extracted coal from beneath Mr Livingstone's land, mistakenly believing that the coal belonged to it. The parties were not treating this as deliberate theft. Mr Livingstone was entitled to compensation for the coal and relevant surface damage. The argument on appeal concerned **how much** he should receive for the coal, not whether the company had taken his coal.

A lower judge had calculated a larger sum by starting with the coal's selling price after extraction and deducting some costs. The Scottish appeal court used evidence of the value of the coal **in the ground to this owner**, together with the separate allowance for surface damage. Mr Livingstone appealed to the House of Lords seeking a larger award. [1]

Who won, and why? Rawyards Coal Company won the House of Lords appeal: Mr Livingstone's appeal was dismissed. He did **not** leave without compensation; the award already fixed by the Scottish appeal court stood. The House decided that, on these facts of an innocent mistake, the measure should reflect the owner's actual loss rather than automatically give him the full selling value of coal after the company had spent money extracting it. [1]

5. A principle from a dispute about amount

Lord Blackburn stated the general aim: find, as nearly as possible, a sum that places the injured party in the position they would have occupied without the wrong. The decision also shows that the rule is applied to actual facts. The company's honest mistake mattered to the assessment; the court did not treat the owner's proposed higher figure as automatically due. [1]

Measure of damages means the method for calculating the award. **Appeal dismissed** means the person who brought that appeal lost it. Here that person was Mr Livingstone. Distinguish his success in being entitled to compensation from his failure to obtain **more** compensation on appeal.

Simple analogy: If someone mistakenly takes and sells your old bicycle after paying for substantial repairs, a court asks what legally compensable loss you suffered under the relevant wrong. It should not simply give you every pound in the final sale price without examining the bicycle's original value, the wrong and the applicable damages rules. This bicycle story is invented, not the court's factual finding.



What may compensation cover?

6. Financial losses that can be counted

Return to the invented case of Mei's broken arm. Suppose the injury reasonably causes three weeks away from work. The lost pay may be a **pecuniary loss**: a loss expressed in money. Reasonable treatment or travel costs may also be relevant. These amounts require evidence, such as pay records and receipts. The court must still decide which losses were legally caused by the tort and recoverable. [2]

Invented calculation, for learning only: If Mei would have earned £400 each week and lost exactly three unpaid weeks because of the injury, the starting figure for lost earnings is £1,200. This is not automatically her total award. Other losses, payments received and the legal rules about causation and avoiding unnecessary loss may affect the result.

7. Losses that cannot be priced exactly

Non-pecuniary loss is not a bill or missing wage. Pain, suffering and loss of amenity (the loss of enjoyment of ordinary life) are examples in a personal injury claim. A court makes a monetary assessment with reference to comparable awards, although money cannot turn back the clock or remove the pain. [2]

If an injury causes permanent disability, an award can contribute to care and other future needs, but it cannot literally restore the person's body. "As nearly as possible" expresses both the ambition and the limit of the principle.

8. A check against paying twice

The same loss should not be counted twice under different labels. The court considers the combined effect of multiple injuries and any overlap between proposed amounts. Compensation aims to make good legally recoverable loss, rather than multiply an award because several descriptions fit the same suffering. [2]



Other remedies and limits

9. Reputation: a correction is not automatic

In defamation, reputation is the protected interest. Money may not fully undo the effect of a harmful publication. The law offers routes for a suitable correction and apology through an **offer to make amends**, and in specified circumstances a court may order publication of a summary of its judgment. Do not assume that every successful claimant automatically receives a full public retraction. [4, 5]

Invented example: A publisher says something legally defamatory about Lin. A correction may reach some readers, and damages may address the harm that the law recognises. Other readers may remember the original allegation. This is why “restore the previous position” is a legal aim, not a promise to erase memories.

10. A remedy depends on the legal claim

Different torts and legal rules may lead to different remedies. An **injunction**, for example, can restrain certain continuing or threatened conduct; damages address loss already caused. This introductory guide focuses on compensation and does not turn every civil remedy into money.

The claimant must prove the relevant wrong, causation and recoverable loss where those elements are required. Rules on the kind of harm covered, remoteness and reasonable steps to limit loss also help define an award. As a result, the theoretical comparison with a world without the wrong does not justify any sum the claimant requests.

11. Keep the central distinctions clear

Liability: has this defendant committed an actionable tort against this claimant?

Compensation: what legally recognised loss followed, and what sum can address it as far as money can?

Limits: some harm cannot be undone; certain remedies have other purposes; an amount should not count the same loss twice.



Check your understanding

1. Does an injury alone prove that a defendant owes tort damages?

Answer: No. The claimant must establish the particular tort and the legally required link to the loss.

2. What is the ordinary aim of compensatory damages?

Answer: To put the claimant, so far as money can, in the position they would have occupied without the wrong.

3. Who won the appeal in Livingstone? Did the owner receive nothing?

Answer: Rawyards Coal Company won: Mr Livingstone's appeal for a larger amount was dismissed. The compensation already awarded to him remained.

4. Why was the extracted coal's final sale price not automatically the measure?

Answer: The court assessed the owner's actual loss in the circumstances, including the value of his coal in the ground and the honest mistake.

5. Give one pecuniary and one non-pecuniary example.

Answer: Lost earnings are pecuniary; pain and suffering are non-pecuniary.

6. Must a defendant in every defamation case publish a full retraction?

Answer: No. Correction, apology and publication of a judgment summary depend on the relevant legal route and circumstances.

7. Is it accurate to say tort damages can never punish?

Answer: No. Ordinary compensatory damages address loss, but exemplary damages are possible in limited circumstances.

Primary sources

Legal materials checked 4 October 2026. The injury, wage, bicycle and publication examples are invented.

[1] **Livingstone v Rawyards Coal Co [1880] UKHL 3**. House of Lords judgment; the measure of coal loss and the owner's unsuccessful appeal. [Read source](#)

[2] **Hassam v Rabot [2024] UKSC 11**. Official UK Supreme Court judgment, paras 10-14 on compensatory and non-financial loss. [Read source](#)

[3] **George v Cannell [2024] UKSC 19**. Official UK Supreme Court judgment, para 209 on compensatory aggravated damages and their distinction from punitive damages. [Read source](#)

[4] **Defamation Act 1996, sections 2-3**. Official legislation on offers to make amends. [Read source](#)

[5] **Defamation Act 2013, section 12**. Official legislation on publication of a judgment summary. [Read source](#)